

CHAPTER 3: INSURANCE AND INDEMNIFICATION

3.5. Commercial General Liability (CGL) Insurance

E. Commercial General Liability (CGL) Insurance

1. [3:290] **Relevant CGL Policy Provisions:** Standard form Commercial General Liability (CGL) policies contain various provisions relevant to employment-related claims:

a. [3:291] **Insuring clauses:** CGL policies contain two separate insuring provisions under which coverage may be claimed:

(1) [3:292] **“Bodily injury liability” coverage:** The first provision covers all sums which the insured shall become legally obligated to pay as damages “because of *bodily injury ... caused by an occurrence*” during the policy period; and obligates the insurer to *defend “any suit”* seeking such damages. [ISO Form CG 00 01 12 07, Sec. I, Coverage A, ¶ 1 (emphasis added)]

(a) [3:293] **“Occurrence”:** “Occurrence” is defined as “an *accident*, including continuous or repeated exposure to substantially the same general harmful conditions.” [CG 00 01 12 07, Sec. V, ¶ 13 (emphasis added)]

1) [3:293.1] **“Accident”:** Unless otherwise defined in the policy, the term “accident” is subject to the common law definition, i.e., “an unexpected, unforeseen, or undesigned happening or consequence from either a known or unknown cause.” This becomes part of the policy and it is not subject to challenge as ambiguous. [*Liberty Surplus Ins. Corp. v. Ledesma & Meyer Const. Co., Inc.* (2018) 5 C5th 216, 221-222, 233 CR3d 487, 490-491—employer's policy providing coverage for bodily injury or property damage caused by “accident” covered suit against insured based on negligent supervision of employee who committed intentional tort harming the underlying plaintiff]

(b) [3:294] **Compare—“claims-made” coverage:** An alternative, less widely used ISO form provides coverage for “bodily injury ... *first made against any insured*, in accordance with [applicable policy provisions] during the policy period ...” [CG 00 02 12 07, Sec. I, Coverage A, ¶ 1.b(3) (emphasis added)]

- [3:295] This form of coverage limits the insurer's risk to the single policy in effect at the time a claim is first asserted against the insured *without regard to the timing of the damage or injury*. This permits the carrier “to establish reserves without regard to possibilities of inflation, upward-spiraling jury awards, or enlargements of tort liability after the policy period.” [*Montrose Chem. Corp. v. Admiral Ins. Co.* (1995) 10 C4th 645, 688, 42 CR2d 324, 349]

- [3:296] Liability for acts committed prior to the policy period is covered under a claims-made policy unless the policy contains either:

— a “prior acts exclusion”; or

— a “retroactive date” (excluding coverage for injury suffered before a certain date even if first claimed during the policy period).

[3:296.1 - 3:296.4] Reserved.

(c) [3:296.5] **Compare—“claims made and reported” coverage:** Some CGL policies may require that the claim also be *reported to the insurer* during the policy period (so-called “claims made and reported coverage”).

Cross-refer: Claims-made and claims made and reported coverage are discussed in detail in Croskey, Heeseman, Ehrlich & Klee, *Cal. Prac. Guide: Insurance Litigation* (TRG), Ch. 7A.

(2) [3:297] **“Personal injury liability” coverage:** A separate provision, “Personal and Advertising Injury Liability Coverage,” covers the insured's liability for damages because of *specified offenses* (¶ 3:298) committed in the course of the insured's *business activities*. [CG 00 01 12 07, Sec. I, Coverage B, ¶ 1]

(a) [3:298] **“Personal injury”**: “Personal injury” means injury *other than bodily injury* arising out of one or more of the following “offenses”:

— *false arrest*, detention or imprisonment;

— *malicious prosecution*;

— *wrongful entry* into, or *eviction of*, a person from a room, dwelling or premises that a person occupies as a residence;

— oral or written publication of material that *slanders or libels* a person or organization or disparages a person's or organization's goods, products or services, or otherwise *violates a person's right of privacy*. [CG 00 01 12 07, Sec. V, ¶ 14]

(b) [3:299] **“Arising out of”**: The injury for which coverage is sought must “arise out of” the offense itself. This indicates that a *causal nexus* is required between the offense and the injury. [See *HS Services, Inc. v. Nationwide Mut. Ins. Co.* (9th Cir. 1997) 109 F3d 642, 647 (applying Calif. law)—“to ‘arise out of’ a termination of employment, the defamatory remark at issue must have been a part of or *directly and proximately* resulted from the termination” (emphasis added)]

[3:300 - 3:309] *Reserved.*

b. [3:310] **Exclusions**: The standard ISO form CGL policy contains the following exclusions from coverage that may be relevant in employment litigation. (As will be seen, some of these exclusions apply only to “bodily injury liability”; others to “personal injury liability”; and some to both.) The “personal injury” section of a standard-form CGL policy is typically subject to fewer exclusions than the “bodily injury” section.

(1) [3:311] **“Expected or intended” injury**: The policy expressly excludes liability for intentional bodily injury to another: “This insurance does not apply to ... ‘bodily injury’ or ‘property damage’ *expected or intended* from the standpoint of the insured.” [CG 00 01 12 07, Sec. I, Coverage A, ¶ 2.a. (emphasis added)]

(a) [3:312] **Compare—Ins.C. § 533**: In addition, Ins.C. § 533 prohibits insurers from indemnifying an insured for liability resulting from the insured's “wilful act.” [Ins.C. § 533; see ¶ 3:105 ff.]

⇒ [3:312.1] **PRACTICE POINTER**: Even when the plaintiff alleges only intentional torts, the insured should argue that coverage is triggered where the alleged facts or proffered evidence would support a potentially covered claim sounding in negligence; e.g., a complaint asserting sexual molestation may include a related claim of negligent nonsexual activity. See discussion at ¶ 3:113.5 ff.

[3:313] *Reserved.*

(2) [3:314] **Workers' compensation**: CGL policies specifically exclude any obligation of the insured under workers' compensation, disability benefits or unemployment compensation laws. [See CG 00 01 12 07, Sec. I, Coverage A, ¶ 2.d.]

(3) [3:315] **Employers' liability**: CGL policies also exclude “bodily injury” claims arising out of and in the course of employment or in performing duties related to the conduct of the insured's business. Although this exclusion appears to overlap the claims excluded by the workers' compensation exclusion (¶ 3:314), it also includes claims *not* covered by workers' compensation; e.g., claims resulting from conduct *outside the normal risk of employment* (e.g., violent assault, false imprisonment), claims by workers who *do not fall within workers' compensation*, etc. The exclusion also applies to claims by *family members* of injured workers. [See CG 00 01 12 07, Sec. 1, Coverage A, ¶ 2.e.]

Note: These unusual claims may be covered under “Employers' Liability Insurance” (see ¶ 3:575 ff.).

(4) [3:316] **Criminal acts**: “Personal injury” claims “arising out of a criminal act committed by or at the direction of any insured” are specifically excluded. [CG 00 01 12 07, Sec. I, Coverage B, ¶ 2.d.]

(5) [3:317] **False publication**: A similar exclusion applies to “personal injury” claims arising out of publication of material “if done by or at the direction of the insured with knowledge of its falsity.” [CG 00 01 12 07, Sec. I, Coverage B, ¶ 2.b.]

(6) [3:318] **Compare—Employment-Related Practices Exclusion endorsement**: Although the standard CGL form does not expressly exclude damages arising from “employment-related practices,” such an exclusion is available through an Employment-Related Practices Exclusion endorsement (ISO form CG 21 47 07 98). This endorsement excludes claims for “bodily injury” or “personal and advertising injury” arising out of “any refusal to employ ...; termination of employment; or

employment-related practices, policies, acts or omissions, such as coercion, demotion, evaluation, reassignment, discipline, defamation, harassment, humiliation or discrimination ...” [See *Golden Eagle Ins. Corp. v. Rocky Cola Café, Inc.* (2001) 94 CA4th 120, 126, 114 CR2d 16, 21, fn. 6; *North American Bldg. Maint., Inc. v. Fireman's Fund Ins. Co.* (2006) 137 CA4th 627, 633-634, 40 CR3d 468, 472-473; and further discussion at ¶ 3:380 ff.]

[3:319 - 3:324] Reserved.

c. [3:325] **Compare—other (nonstandard) exclusions:** Nonstandard liability insurance policy forms may contain additional exclusions affecting employment-related claims. The following are examples:

- “arising out of the *wrongful termination* of the insured's employees”;
- “arising out of *discrimination* by the insured”;
- “*caused by another employee* of the insured”;
- “arising out of acts committed by the insured with *actual malice*” (deemed stronger than *Ins.C. § 533* because “actual malice” precludes coverage for any act that has a *scienter* requirement, which includes most criminal acts).
Cross-refer: CGL policy provisions are discussed in greater detail in Croskey, Heeseman, Ehrlich & Klee, *Cal. Prac. Guide: Insurance Litigation* (TRG), Ch. 7A.

[3:326 - 3:334] Reserved.

2. [3:335] **Wrongful Termination Claims:** Coverage for wrongful termination claims under CGL policies depends on the type of claim asserted. Most wrongful termination claims combine both *contract* and *tort* theories. [See *B & E Convalescent Ctr. v. State Comp. Ins. Fund* (1992) 8 CA4th 78, 85, 9 CR2d 894, 898, fn. 5; and ¶ 3:506 (contract claims)]

[3:336 - 3:354] Reserved.

a. [3:355] **No “bodily injury liability” coverage:** Tort claims raised in connection with employment termination are generally not covered under CGL “bodily injury” coverage for the following reasons:

(1) [3:356] **Often no “bodily injury”:** First, most employment termination claims seek damages for *nonphysical* injuries (emotional distress, mental anguish, etc.). Most cases hold that claims for emotional distress, unaccompanied by physical injury, *do not constitute “bodily injury”* and thus are not covered: “The term ‘bodily injury’ is unambiguous. It means physical injury and its consequences. It does not include emotional distress in the absence of *physical* injury.” [*Aim Ins. Co. v. Culcasi* (1991) 229 CA3d 209, 220, 280 CR 766, 772 (emphasis in original); see also *Chatton v. National Union Fire Ins. Co. of Pittsburgh, Penn.* (1992) 10 CA4th 846, 854, 13 CR2d 318, 323—“bodily injury” does not include nonphysical, emotional or mental harm]

(2) [3:357] **No accidental “occurrence”:** More fundamentally, CGL bodily injury coverage requires an “occurrence,” which is defined as an “accident.” [CG 00 01 12 07, Sec. V, ¶ 13]

Employment termination by nature is an intentional act. It is not an accidental “occurrence” even if the employee suffers injuries not intended by the employer. [*Dyer v. Northbrook Property & Cas. Ins. Co.* (1989) 210 CA3d 1540, 1547-1548, 259 CR 298, 303—no coverage for emotional distress arising from employment termination; *B & E Convalescent Ctr. v. State Comp. Ins. Fund*, *supra*, 8 CA4th at 98, 9 CR2d at 907—no coverage for injuries arising from wrongful termination under policy limiting coverage to “accidents” or “occurrences”]

(a) [3:358] **Rationale:** The concept of fortuity is basic to insurance law. There is no coverage for damages the insured *expected or intended* to result from its conduct. [See *Waller v. Truck Ins. Exch., Inc.* (1995) 11 C4th 1, 17, 44 CR2d 370, 377]

(b) Application

- [3:359] Minority Shareholder (a demoted executive) sued Insured for mismanaging corporate property, resulting

in an *economic loss* that caused him to suffer emotional distress which in turn caused physical injury. There was no coverage under Insured's CGL policy because there was no accidental "occurrence"; i.e., both the alleged emotional and physical distress resulted from noncovered economic losses. [*Waller v. Truck Ins. Exch., Inc.*, *supra*, 11 C4th at 23, 44 CR2d at 381]

[3:360 - 3:364] Reserved.

(c) [3:365] **Compare—(nonstandard) policy covering "accident or event":** The result may be different where a liability policy defines "occurrence" as an "accident or event" causing bodily injury or property damage. Such a provision may require the insurer to defend a wrongful discharge suit because "*event*" may include *nonaccidental* (i.e., intentional) acts. [*United Pac. Ins. Co. v. McGuire Co.* (1991) 229 CA3d 1560, 1565-1567, 281 CR 375, 378-379—potential coverage for damages for mental distress from wrongful termination]

1) [3:365.1] **Does not include "wilful" acts:** As a matter of law, there can be no coverage for "wilful acts" (*Ins.C. § 533*; see discussion at ¶ 3:105 ff.). Therefore, despite coverage for intentional acts, there is no coverage for any injury or damage *expected or intended* by the insured: "[T]he defendants were covered for the intentional act of terminating the plaintiff, as long as the result of the termination—i.e., emotional distress—was not intended by the defendants." [*Waller v. Truck Ins. Exch., Inc.* (1995) 11 C4th 1, 28, 44 CR2d 370, 385; *Liberty Surplus Ins. Corp. v. Ledesma & Meyer Const. Co., Inc.* (2018) 5 C5th 216, 225-226, 233 CR3d 487, 493-494—insured employer, sued for negligently supervising employee who molested plaintiff, entitled to defense because its intentional act of negligent supervision had the *unintended effect* of facilitating the molestation (relying on policy definition of "accident")]

(3) [3:366] **Workers' compensation exclusion:** Injuries arising from termination of employment are *excluded* by the workers' compensation exclusion to the extent they fall within the workers' compensation laws (see ¶ 3:314). [See CG 00 01 12 07, Sec. 1, Coverage A, ¶ 2.d.]

Although not necessarily subject to the exclusive remedy provisions of workers' compensation, such claims are considered to arise out of and in the course of employment and thus are covered by workers' compensation. "[I]njuries arising from termination of employment ordinarily arise out of and occur in the course of employment within the meaning of Labor Code section 3600 ... [B]oth the act of termination and the acts leading up to termination necessarily arise out of and occur during and in the course of the employment." [See *Shoemaker v. Myers* (1990) 52 C3d 1, 19-20, 276 CR 303, 314—dealing with workers' comp insurance]

(4) [3:367] **Employers' liability exclusion:** Injuries arising from employment but not within workers' compensation are also specifically *excluded* by the employers' liability exclusion (see ¶ 3:315). [See CG 00 01 12 07, Sec. 1, Coverage A, ¶ 2.e.]

[3:368 - 3:374] Reserved.

b. [3:375] **Coverage under separate "personal injury liability" coverage?** There may be a better chance of coverage for certain wrongful termination claims under CGL "personal injury liability" provisions (see ¶ 3:297).

(1) [3:376] **Accidental "occurrence" not required:** Unlike "bodily injury liability" coverage, there generally is no requirement for an accidental "occurrence" for personal injury liability coverage.

(2) [3:377] **Covered "offenses":** Personal injury liability coverage is limited, however, to certain specific "offenses" (see ¶ 3:298).

The following are the "offenses" most likely to be encountered in wrongful discharge cases:

— *false arrest*, detention, imprisonment or malicious prosecution;

— *defamation* or violation of an individual's right of privacy. [See *Loyola Marymount Univ. v. Hartford Acc. & Indem. Co.* (1990) 219 CA3d 1217, 1222, 271 CR 528, 530; and *American Guarantee & Liab. Ins. Co. v. Vista Med. Supply* (ND CA 1988) 699 F.Supp. 787, 793 (applying Calif. law)]

• [3:378] A claim that the insured locked certain employees in the store at night against their will (i.e., false imprisonment) is potentially covered under a "personal injury liability" policy. [See *North American Bldg. Maint., Inc. v. Fireman's Fund Ins. Co.* (2006) 137 CA4th 627, 638, 40 CR3d 468, 476—"the false imprisonment allegation ... comes within

the insuring agreement”]

(3) [3:379] **Ins.C. § 533 (“wilful acts”) exclusion:** There is no express “intentional injury” exclusion for “personal injury liability” (as there is for bodily injury and property damage; *see* ¶ 3:311). But *Ins.C. § 533* is read into every insurance contract and bars coverage for harm caused by the “wilful acts” injury of another (*see* ¶ 3:105 *ff.*).

(4) [3:380] **“Employment-related practices” exclusion:** As noted, the ISO CGL form may contain an “employment-related practices” exclusion endorsement (CG 21 47 04 98), which excludes personal injury coverage for claims arising out of the refusal to hire, termination of employment, and a variety of other “*employment-related practices*, policies, acts or omissions ...” (*see* ¶ 3:318). [See *Golden Eagle Ins. Corp. v. Rocky Cola Café, Inc.* (2001) 94 CA4th 120, 126, 114 CR2d 16, 21, *fn.* 6 (emphasis added); *Low v. Golden Eagle Ins. Co.* (2002) 104 CA4th 306, 309-316, 128 CR2d 423, 425-430 (discussing employment-related practices exclusion)]

Similar provisions may be found in non-ISO policies. [See *Loyola Marymount Univ. v. Hartford Acc. & Indem. Co.*, *supra*, 219 CA3d at 1222, 271 CR at 531; and *Frank & Freedus v. Allstate Ins. Co.* (1996) 45 CA4th 461, 470, 52 CR2d 678, 683]

The ISO endorsement also states that the exclusion applies “whether the insured may be liable as an employer *or in any other capacity*.” Absent this language, an employment-related practices exclusion does not preclude coverage for claims against the insured by employees of an independent contractor. [*North American Bldg. Maint., Inc. v. Fireman's Fund Ins. Co.*, *supra*, 137 CA4th at 638, 40 CR3d at 476—subcontractor's employees performing work on insured's premises sued insured for labor violations and false imprisonment]

(a) Interpretation

1) [3:381] **“Employment-related”:** The term “employment-related” is not ambiguous; it is “used in its ordinary sense, i.e., related to employment,” and “modifies the specified acts” (discipline, demotion, etc.). [*Frank & Freedus v. Allstate Ins. Co.*, *supra*, 45 CA4th at 470, 52 CR2d at 683]

2) [3:382] **“In any other capacity”:** Although the phrase “employer *or in any other capacity*” may be ambiguous, other language in the exclusion makes clear that the employment-related practices liability exclusion relates primarily to “claims that could only arise in situations of employment, former employment, or prospective employment.” [*North American Bldg. Maint., Inc. v. Fireman's Fund Ins. Co.*, *supra*, 137 CA4th at 642, 40 CR3d at 479]

a) [3:383] **Effect:** Thus, the exclusion should not limit coverage for the insured's business operations *outside* of its internal employment practices. [*North American Bldg. Maint., Inc. v. Fireman's Fund Ins. Co.*, *supra*, 137 CA4th at 642, 40 CR3d at 479—employment-related practices exclusion did not apply to action brought by employees of another entity]

[3:384 - 3:389] Reserved.

(b) [3:390] **Applicable to post-termination torts?** Courts disagree on whether an exclusion for “employment-related practices” applies to defamation or other torts committed by the insured employer *after* termination of employment:

1) [3:391] **Narrow interpretation:** According to one view, post-termination employer torts are “employment related” only if the tort's relationship to the employment is *direct and proximate*. I.e., a defamatory remark must have been *part of the termination* or directly and proximately resulted therefrom: “Any broader interpretation ... would defeat the reasonable expectation of the insured.” [*HS Services, Inc. v. Nationwide Mut. Ins. Co.* (9th Cir. 1997) 109 F3d 642, 647 (applying Calif. law); *Golden Eagle Ins. Corp. v. Rocky Cola Café, Inc.* (2001) 94 CA4th 120, 128, 114 CR2d 16, 22—exclusion applies only to liability flowing from insured employer's acts *in the context of* and *related to* injured person's employment]

[3:392] Reserved.

• [3:393] A defamation claim based on statements to customers regarding an ex-employee who had gone into competition with the employer was *not* “employment related.” The statements were in response to accusations by a competitor (the ex-employee) and thus related to competition in the marketplace rather than the former employment. [*HS Services, Inc. v. Nationwide Mut. Ins. Co.*, *supra*, 109 F3d at 647 (also holding “chain of causation” broken

between termination and defamatory remark))

- [3:394] Waitress (plaintiff) claimed Manager had coerced her into a sexual relationship and that after she terminated their relationship and quit her job, he followed her to a gym and called her a “sexually promiscuous and calculating bitch.” She sued Manager and Employer on several theories, including defamation. The “employment-related practices” exclusion in Employer's personal injury liability policy did *not* apply because the defamation was *not directed to plaintiff's performance* during employment. [*Golden Eagle Ins. Corp. v. Rocky Cola Café, Inc.*, *supra*, 94 CA4th at 128, 114 CR2d at 22]

[3:395 - 3:399] Reserved.

2) [3:400] **Broad interpretation:** Other courts find post-termination defamation “employment related” if it would not have occurred *but for* the employment. Under this view, it is enough that the defamatory remark's content was “directed to [employee's] performance during employment.” [*Frank & Freedus v. Allstate Ins. Co.*, *supra*, 45 CA4th at 471-472, 52 CR2d at 684; *Loyola Marymount Univ. v. Hartford Acc. & Indem. Co.* (1990) 219 CA3d 1217, 1223, 271 CR 528, 530]

- [3:401] A defamation claim based on the employer's post-termination statement to other employees explaining the reason plaintiff had been fired was “clearly employment related” because the employer was *attempting to boost the morale* of the other employees. [*Frank & Freedus v. Allstate Ins. Co.*, *supra*, 45 CA4th at 471-472, 52 CR2d at 684]

- [3:402] Employee claimed he had been sexually harassed by Supervisor. Employer's President gave a radio interview regarding Employee's claims. During the interview, President acknowledged that Supervisor had AIDS. Supervisor (whose job had been eliminated) sued President for defamation and invasion of privacy. Supervisor's claims were not covered under Employer's liability insurance. The “employment-related practices” exclusion applied because *the only relationship* between President and Supervisor was an employment relationship. [*Low v. Golden Eagle Ins. Co.* (2002) 104 CA4th 306, 316, 128 CR2d 423, 430]

[3:403 - 3:404] Reserved.

3) [3:405] **Reconciliation of views?** One court has attempted to reconcile these interpretations as follows: The fact the alleged tort arose *after* the employment relationship ceased does not itself remove the claim from the scope of the employment-related practices exclusion. Rather, that is only one of several relevant factors, including:

— “(1) the nexus between the allegedly defamatory statement (or other tort) at issue and the third party plaintiff's employment by the insured, and

— “(2) the existence (or nonexistence) of a relationship between the employer and the third party plaintiff *outside* the employment relationship.” [*Low v. Golden Eagle Ins. Co.*, *supra*, 104 CA4th at 314, 128 CR2d at 428-429 (emphasis in original)]

[3:406 - 3:419] Reserved.

3. [3:420] **Tort Claims Collateral to Employment Termination:** Claims for wrongful termination are often accompanied by collateral tort claims. E.g., intentional or negligent misrepresentations (false promises of fair treatment, etc.); intentional or negligent infliction of emotional distress; invasion of privacy; defamation (in employment references), etc. An insurer will often deny coverage for such collateral tort claims for the same reasons it denies coverage for the wrongful termination itself:

a. [3:421] **No accidental “occurrence”:** Because termination of employment is an intentional act, all claims arising out of such termination are subject to the same coverage analysis discussed above (§ 3:357); i.e., since the termination is not an accidental “occurrence,” there is generally no coverage under a CGL policy. [See *Loyola Marymount Univ. v. Hartford Acc. & Indem. Co.* (1990) 219 CA3d 1217, 1224-1225, 271 CR 528, 532; *American Guarantee & Liab. Ins. Co. v. Vista Med. Supply* (ND CA 1988) 699 F.Supp. 787, 790 (applying Calif. law)]

- [3:422] If tort claims based on negligence (e.g., negligent infliction of emotional distress, negligent misrepresentation, etc.) are *incidental to the termination*, there is no coverage. Because courts have found that termination of employment is

not an accidental “occurrence” (*see* ¶ 3:357 *ff.*), unintended results of the termination are treated the same way. [*Dyer v. Northbrook Property & Cas. Ins. Co.* (1989) 210 CA3d 1540, 1547, 259 CR 298, 303]

- [3:423] Nor does the employer's mistake or misunderstanding transfer a discharge into an “occurrence,” triggering the insurer's duty to defend: “The policy at issue defines ‘occurrence’ as *accident*; thus, any intentional conduct, i.e., termination, *even if due to a misunderstanding*, is not covered as an occurrence ... An employment termination, even if due to mistake, cannot be unintentional.” [*Lipson v. Jordache Enterprises, Inc.* (1992) 9 CA4th 151, 159, 11 CR2d 271, 276 (emphasis added)]

b. [3:424] **Compare—post-termination torts:** The result may be different where the tort claim is based on the insured employer's acts *after* the employee is discharged; e.g., defaming the ex-employee to a prospective new employer.

However, an employment-related practices exclusion (*see* ¶ 3:318 *ff.*) may bar coverage even for post-termination tort claims. (*See further discussion at* ¶ 3:390 *ff.*)

c. [3:425] **“Intentional injury” exclusion:** Tort claims incidental to termination of employment may also be excluded from CGL “bodily injury” coverage by the express exclusion for “intentional injury” (*see* ¶ 3:311) or the implied exclusion for “wilful acts” created by *Ins.C. § 533* (*see* ¶ 3:105 *ff.*).

- [3:426] A termination of employment in violation of public policy (so-called *Tameny* tort) is deemed *inherently harmful* as a matter of law and insurance coverage is therefore barred by *Ins.C. § 533*: “Under any reasonable criterion, a termination in violation of such public policies must be held wrongful as a matter of law.” [*B & E Convalescent Ctr. v. State Comp. Ins. Fund* (1992) 8 CA4th 78, 99, 9 CR2d 894, 907—involving workers' compensation and employers' liability policy rather than CGL policy, but court noted that differences in policies did not affect application of *Ins.C. § 533*]

[3:427 - 3:439] *Reserved.*

4. [3:440] **Sexual Harassment Claims:** Claims against an employer for sexual harassment are subject to the following coverage analysis under CGL policies:

a. [3:441] **No “bodily injury liability” coverage:** There is no CGL “bodily injury” coverage for claims of sexual harassment for the following reasons:

(1) [3:442] **Often no “bodily injury”:** Sexual harassment claims typically seek damages for emotional distress, mental anguish, etc. Most courts hold emotional distress *does not* constitute “bodily injury” under a CGL policy (¶ 3:356). [See *Aim Ins. Co. v. Culcasi* (1991) 229 CA3d 209, 220, 280 CR 766, 772]

⇒ [3:443] **PRACTICE POINTER FOR EMPLOYER'S COUNSEL:** If you represent the employer, utilize discovery to determine whether the employee complains of *physical* symptoms (such as ulcers, headaches, rashes) resulting from emotional distress.

(2) [3:444] **No accidental “occurrence”:** More fundamentally, CGL policies cover only accidental “occurrences” (*see* ¶ 3:357); and by its very nature, sexual harassment is intentional, not accidental. [See *David Kleis, Inc. v. Sup.Ct. (California Ins. Co.)* (1995) 37 CA4th 1035, 1047-1048, 44 CR2d 181, 188-189]

b. [3:445] **Coverage under CGL “personal injury liability” coverage?** Although sexual harassment is not one of the enumerated “personal injury offenses,” allegations of sexual misconduct may disclose a *potential* for coverage under one of the recognized “offenses”—particularly, false imprisonment or detention (*see* ¶ 3:298).

As noted by one court: “The fact that the victim construed the activity as sexual misconduct, and filed a claim on that basis, does not preclude a jury from finding that no sexual harassment took place but that a *false imprisonment or detention* did occur.” [*David Kleis, Inc. v. Sup.Ct. (California Ins. Co.)*, *supra*, 37 CA4th at 1050, 44 CR2d at 190 (emphasis added)]

c. [3:446] **“Intentional injury” exclusion:** CGL bodily injury coverage may also be excluded because the victim's injuries are deemed “expected or intended by the insured” (*see* ¶ 3:311).

d. [3:447] ***Ins.C. § 533* may bar indemnity coverage:** Moreover, sexual harassment is clearly a willfully-caused injury within the meaning of *Ins.C. § 533*, which operates as an implied exclusion in every insurance policy (*see* ¶ 3:105 *ff.*).

One court has stated that *section 533* precludes coverage in a sexual harassment case because sexual harassment “is *always* intentional, it is *always* wrongful, and it is *always* harmful.” [*Coit Drapery Cleaners, Inc. v. Sequoia Ins. Co.* (1993) 14 CA4th 1595, 1614, 18 CR2d 692, 705 (emphasis in original; quoting *J.C. Penney Cas. Ins. Co. v. M.K.* (1991) 52 C3d 1009, 1025, 278 CR 64, 73 (addressing coverage for child molestation); internal quotes omitted); but see *Markel American*

Ins. Co. v. G.L. Anderson Ins. Services, Inc. (ED CA 2010) 715 F.Supp.2d 1068, 1077-1078 (applying Calif. law)—sexual harassment claim does not necessarily implicate intentional or willful conduct]

[3:448] Reserved.

(1) [3:449] **Includes related torts:** “[I]t is clear that [section 533](#), and the public policy it represents, bar the attempt to shift liability for intentional sexual harassment and associated employment-related torts (claims of wrongful discharge, infliction of emotional distress, battery, and sexual assault) to an insurer.” [See *Coit Drapery Cleaners, Inc. v. Sequoia Ins. Co.*, [supra](#), 14 CA4th at 1603, 18 CR2d at 698]

(2) [3:450] **Claim barred against harasser's employer?** Whether [Ins.C. § 533](#) bars insurance coverage for the sexual harasser's employer depends on whether the employer was otherwise at fault.

(a) [3:451] **Where harassment allowed, ratified or condoned by employer:** [Section 533](#) bars coverage for claims against the sexual harasser's employer *if* the employer ratified, condoned or permitted the harassment to occur *as a matter of corporate policy*. [*Coit Drapery Cleaners, Inc. v. Sequoia Ins. Co.*, [supra](#), 14 CA4th at 1613, 18 CR2d at 704-705]

• [3:452] Corporation's President sexually harassed female employees. He had founded the corporation, and was a major stockholder, chairman of its board of directors, and the corporation's “managing agent.” Because his acts were known to and ratified and condoned by the corporation, it could not claim insurance coverage for the liability created by President's acts: “[I]t would be contrary to public policy to allow a wrongdoer which is directly and strictly liable for such wrongdoing, such as Coit, to shift the loss resulting from such an unlawful corporate practice to its insurer.” [*Coit Drapery Cleaners, Inc. v. Sequoia Ins. Co.*, [supra](#), 14 CA4th at 1606-1607, 18 CR2d at 700]

(b) [3:453] **Compare—respondeat superior liability:** However, [§ 533](#) does not bar indemnification for sexual harassment claims based entirely on vicarious liability (respondeat superior) and for which the corporation is *not otherwise at fault*. [*Melugin v. Zurich Canada* (1996) 50 CA4th 658, 667, 57 CR2d 781, 786]

(c) [3:454] **Compare—claims of negligent supervision:** Nor does [§ 533](#) bar coverage for claims against an employer for *negligent hiring, retention or supervision* of the sexual harasser (because no “wilful act” by employer). [See *David Kleis, Inc. v. Sup.Ct. (California Ins. Co.)* (1995) 37 CA4th 1035, 1050, 44 CR2d 181, 190]

(d) [3:455] **Compare—duty to defend:** But it may not excuse the insurer's duty to defend where the complaint alleges conduct that *does not necessarily constitute* sexual harassment or other “wilful” misconduct. [See *Horace Mann Ins. Co. v. Barbara B.* (1993) 4 C4th 1076, 1082, 17 CR2d 210, 214—allegations of unwanted touching by teacher gave rise to duty to defend]

[3:456 - 3:464] Reserved.

5. [3:465] **Employment Discrimination Claims:** Whether CGL policies provide coverage for employment discrimination is subject to a similar analysis as claims for wrongful termination and sexual harassment:

a. [3:466] **No “bodily injury” coverage:** Employment discrimination claims generally are not covered under standard-form CGL “bodily injury” coverage for the following reasons:

(1) [3:467] **Often no “bodily injury”:** Employment discrimination claims typically seek damages for emotional distress, mental anguish, etc. Most courts hold emotional distress *does not* constitute “bodily injury” under a CGL policy ([¶ 3:356](#)). [See *Aim Ins. Co. v. Culcasi* (1991) 229 CA3d 209, 220, 280 CR 766, 772]

(2) [3:468] **No accidental “occurrence”:** CGL policies cover only accidental “occurrences” (*see* [¶ 3:357](#)); and acts of employment discrimination are generally intentional, not accidental—even when no discriminatory effect was intended. [*Loyola Marymount Univ. v. Hartford Acc. & Indem. Co.* (1990) 219 CA3d 1217, 1225, 271 CR 528, 532]

b. [3:469] **“Personal injury liability” coverage?** Employment discrimination claims do not fit within any of the “offenses” enumerated in the separate CGL coverage for “personal injury liability” (e.g., defamation, false imprisonment, malicious prosecution, etc.; *see* [¶ 3:298](#)).

However, *nonstandard* policies may define “personal injury” more broadly:

(1) [3:470] **(Nonstandard) definition including “humiliation”:** Some liability policies define “personal injury” to include injury arising out of “libel, slander, defamation of character, *humiliation* or invasion of privacy ...”

“Humiliation” by itself is not an actionable tort but, rather, a form of *damages* (emotional distress). Therefore, there is no

“personal injury” coverage for “humiliation” damages resulting from *noncovered* risks; e.g., employment discrimination. [*American Motorists Ins. Co. v. Allied-Sysco Food Services, Inc.* (1993) 19 CA4th 1342, 1351, 24 CR2d 106, 110-111 (disapproved on other grounds by *Buss v. Sup.Ct. (Transamerica Ins. Co.)* (1997) 16 C4th 35, 65 CR2d 366)]

(a) [3:471] **Compare—where covered “offense” alleged:** On the other hand, humiliation damages may be recoverable where employment discrimination is joined with claims of an “offense” covered under “personal injury liability”: e.g., *defamation, malicious prosecution, invasion of privacy*, etc. [See *American Guarantee & Liab. Ins. Co. v. Vista Med. Supply* (ND CA 1988) 699 F.Supp. 787, 794 (applying Calif. law)—insurer owed duty to defend claim that employer had falsely accused employee of dereliction of duty, humiliating her in front of others: i.e., a potential defamation claim that would be covered under the policy]

(2) [3:472] **(Nonstandard) definition including “discrimination”:** Some *nonstandard* CGL forms define “personal injury” to include discrimination claims. For example: “Personal injury” may be defined to include:

— “*discrimination*, racial or religious discrimination and/or violation of civil rights, humiliation, sexual discrimination, alienation of affection, however damages based on the above offenses are only covered where insurance against same is not prohibited by law.” [See *Melugin v. Zurich Canada* (1996) 50 CA4th 658, 663, 57 CR2d 781, 783]

(a) [3:473] **“Racial or religious discrimination” not applicable to employment discrimination:** The terms “racial or religious discrimination” were held not to cover *other* forms of discrimination: e.g., *employment* discrimination (under Title VII of the 1964 Civil Rights Act or under the California FEHA). [*American Motorists Ins. Co. v. Allied-Sysco Food Services, Inc.*, *supra*, 19 CA4th at 1349, 24 CR2d at 110 (disapproved on other grounds by *Buss v. Sup.Ct. (Transamerica Ins. Co.)* (1997) 16 C4th 35, 65 CR2d 366)]

(b) [3:474] **Effect of exclusion for claims relating to dismissal:** Employment discrimination claims against an employer were covered under a policy that defined “personal injury” to include “discrimination” ... notwithstanding an exclusion for “personal injury sustained ... as a result of an offense directly or indirectly related to the *dismissal* of any employee of the Insured.” [*Melugin v. Zurich Canada*, *supra*, 50 CA4th at 668, 57 CR2d at 787 (emphasis added)]

This “vaguely worded” exclusion did not excuse the insurer’s duty to defend claims that the employer had *discriminated* against its employees during their employment. Claims of discrimination during employment have nothing to do with “dismissal.” [*Melugin v. Zurich Canada*, *supra*, 50 CA4th at 668-669, 57 CR2d at 787]

1) [3:475] **Rationale:** “The mere act of *unintentionally* discriminating against someone in violation of the law cannot be an ‘offense’ negating the very coverage granted to the insured for claims of ‘discrimination’ by the policy itself ... [That] would result in an entirely fictional grant of coverage, by which the express grant of coverage for claims of discrimination would be empty and idle because such claims in all cases would be barred by [section 533](#) or by inapplicable policy exclusions.” [*Melugin v. Zurich Canada*, *supra*, 50 CA4th at 669, 57 CR2d at 787-788 (emphasis added)]

[3:476 - 3:484] Reserved.

c. [3:485] **No duty to defend EEOC or FEHA administrative proceedings:** The standard-form CGL policy obligates the insurer to defend “suits” against the insured and defines “suit” as a “*civil proceeding* in which damages ... to which this insurance applies are alleged” (including arbitration and other ADR proceedings if the insurer consents). [CG 00 01 12 07, Sec. V, ¶ 18 (emphasis added)]

Thus, even assuming a potential for coverage otherwise exists, the insurer *does not* owe a duty to defend the insured in administrative proceedings (such as EEOC or FEHA investigations and hearings). [See *Foster-Gardner, Inc. v. National Union Fire Ins. Co.* (1998) 18 C4th 857, 883, 77 CR2d 107, 125—insurer owed no duty to defend insured in proceedings commenced by state Environmental Protection Agency; see also *Certain Underwriters at Lloyd’s of London v. Sup.Ct. (Powerine Oil Co., Inc.) (“Powerine I”)* (2001) 24 C4th 945, 960, 103 CR2d 672, 682—insurer’s duty to *indemnify* insured is *limited to money ordered by a court*]

(1) [3:486] **Compare—EPL policies:** This problem does not exist with standard-form Employment Practices Liability (EPL) insurance policies because coverage extends to “claims” asserted in court *or administrative proceedings* (see ¶ [3:216](#)).

[3:486.1 - 3:486.4] Reserved.

(2) [3:486.5] **Compare—adjudicative (quasi-judicial) administrative proceedings:** An adjudicative administrative proceeding that is the *functional equivalent of a lawsuit*—i.e., commenced by filing a complaint, governed by rules similar to a judicial proceeding and capable of resulting in a damages award—is deemed a “suit” under insurance policies that do not define the term. Because *the undefined term is ambiguous*, and the insured *reasonably* would expect such proceedings to be covered, the insurer owes a duty to defend and indemnify. [*Ameron Int'l Corp. v. Insurance Co. of State of Penn.* (2010) 50 C4th 1370, 1386, 118 CR3d 95, 107—proceeding before U.S. Dept. of Interior Board of Contract Appeals *to resolve government demands* against insured parties, commenced by filing of “complaint,” involved 22 days of trial, numerous witnesses and substantial evidence]

d. [3:487] **Ins.C. § 533 as bar to coverage?** Section 533 bars coverage for injury claims arising from the insured's “wilful” (intentional) discrimination against employees (*see* ¶ 3:105 *ff.*). But the statute does not bar coverage for conduct that may be wrongful, but that was *not* intentional or wilful from the standpoint of the insured. [*Melugin v. Zurich Canada* (1996) 50 CA4th 658, 665, 57 CR2d 781, 785]

(1) [3:488] **“Disparate treatment” vs. “disparate impact” claims:** Thus, while there is no coverage for deliberate discrimination in the workplace (“disparate treatment” cases), there *may* be coverage for discrimination resulting from only *unintentional*, negligent conduct (so-called “disparate impact” cases). [*Melugin v. Zurich Canada*, *supra*, 50 CA4th at 665, 57 CR2d at 785]

“Unlike disparate treatment claims, disparate impact claims are not precluded from coverage under § 533.” [*Save Mart Supermarkets v. Underwriters at Lloyd's London* (ND CA 1994) 843 F.Supp. 597, 606 (applying Calif. law)]

- [3:489] “*Disparate treatment*” requires proof of discriminating intent; i.e., the employee must prove the employer treated the employee differently from other employees due to race, gender, etc. [See *B & E Convalescent Ctr. v. State Comp. Ins. Fund* (1992) 8 CA4th 78, 95, 9 CR2d 894, 905—complaint alleged employer terminated employee with intent to discriminate against her because of her gender, age and ethnic origin]

- [3:490] “*Disparate impact*” requires only that the employee prove the employer's *facially neutral* practices or policies tended to impact adversely a particular group of which the employee is a member. [See *Save Mart Supermarkets v. Underwriters at Lloyd's London*, *supra*, 843 F.Supp. at 606, *fn.* 29]

(2) [3:491] **Compare—employer's vicarious liability:** Ins.C. § 533 does not bar coverage where an employer is sought to be held vicariously liable for intentional acts by its officers or managers that it has not authorized or ratified (*see* ¶ 3:114); or for statutory (FEHA) violations for which it may be strictly liable *regardless* of authorization or ratification. [*Melugin v. Zurich Canada*, *supra*, 50 CA4th at 667, 57 CR2d at 786; *see Federal Ins. Co. v. Steadfast Ins. Co.* (2012) 209 CA4th 668, 681, 147 CR3d 363, 372 (citing text)]

[3:492 - 3:504] *Reserved.*

6. [3:505] **ERISA Claims:** Claims made under the Employee Retirement Income and Security Act (ERISA) relating to employee pensions or benefits plans are subject to the same coverage analysis discussed above (¶ 3:292 *ff.*). There is generally no coverage under a CGL policy because such claims flow from *intentional* acts by the employer or ERISA fiduciary, not accidental “occurrences.” In addition, most ERISA claims do not seek damages for “bodily injury” within the meaning of the policy (*see* ¶ 3:356).

A special form of insurance coverage (Employee Benefits Liability or EBL coverage) is now available to cover such claims. *See* ¶ 3:280 *ff.*

7. [3:506] **Contract Claims:** Most breach of contract claims are not covered under a CGL policy because they do not involve “bodily injury” or an accidental “occurrence” (*see* ¶ 3:292 *ff.*) or because another policy limitation applies. [See *B & E Convalescent Ctr. v. State Comp. Ins. Fund* (1992) 8 CA4th 78, 85, 9 CR2d 894, 898, *fn.* 5—contract claim for wrongful termination based on breach of implied covenant not within scope of liability coverage because termination not an “accident” (¶ 3:357); *Ray v. Valley Forge Ins. Co.* (1999) 77 CA4th 1039, 1048, 92 CR2d 473, 478-479—policy did not cover claims against roofing consultant for breach of contract and malpractice]

Cross-refer: CGL insurance is discussed in detail in Croskey, Heeseman, Ehrlich & Klee, *Cal. Prac. Guide: Insurance*

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[3:507 - 3:514] *Reserved.*